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DIAMOND TRUST BANK

DTB Bank Kenya Q3 Earnings Note

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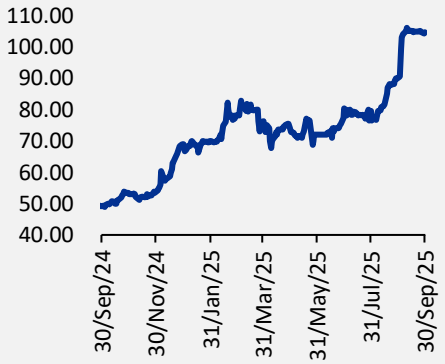
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DTB Bank Q3'25 Earnings Note

12th December, 2025

Ticker Information	
NSE Code:	DTK
Issued Shares (Bn):	0.28
52-week high:	KES 118
52-week low:	KES 43.05

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	16.4%	35.3%	38.0%	112.4%

Source: NSE, AIB-AXYS Research

Recommendation	Current Price	Target Price
BUY	**KES 115.00**	**KES 125.30**

Summary

- **Diamond Trust Bank (DTB) delivered a resilient Q3'2025 performance, posting a 12.3% y/y rise in profit after tax to KES 8.36Bn,** as the bank continued to lean on its core lending engine and disciplined balance sheet execution. Net interest income remained the standout driver, climbing 17.9% y/y to KES 25.13Bn on the back of improved asset yields and a 7.8% expansion in the loan book to KES 296.40Bn. This strong funded-income momentum helped cushion the 5.9% y/y dip in non-funded income to KES 9.14Bn. Cost pressures were well contained, and provisions rose modestly, aligning with the slight uptick in gross NPLs. Overall, DTB sustained its earnings trajectory, supported by a growing deposit base and a consistently stable operating environment.

Key Highlights

- **Income Drivers:** DTB sustained strong earnings momentum in Q3'2025, with operating income supported by a resilient performance across key revenue lines. Interest income from loans rose 3.2% y/y to KES 24.76Bn, while income from government securities declined 6.6% y/y to KES 18.12Bn pointing to a modest shift in the asset mix. Lower funding costs with interest expense down 14.6% y/y to KES 19.84Bn helped preserve margins, lifting net interest income by 17.9% y/y to KES 25.13Bn. Non-funded income contracted 5.9% y/y to KES 9.14Bn due to softer FX trading and transactional volumes, though total operating income still increased 10.5% y/y to KES 34.28Bn, underscoring DTB's ability to maintain topline growth.
- **Asset Quality:** DTB's asset quality weakened slightly, with gross non-performing loans rising 4.5% y/y to KES 40.89Bn, signaling borrowers' stress across select lending segments. The increase in NPL stock was accompanied by a measured rise in provisioning, with loan loss provisions up 7.6% y/y to KES 5.67Bn to maintain adequate coverage levels. While asset quality pressure remains manageable, the upward trend in impaired loans points to a still-fragile credit environment, reinforcing the importance of disciplined underwriting and cautious portfolio growth through the remainder of the year.

Balance Sheet Dynamics

DTB's balance sheet remained solid in Q3'2025, with total assets rising 8.7% y/y to KES 641.77Bn, supported by steady loan growth and strong deposit mobilization. Loan advances expanded 7.8% y/y to KES 296.40Bn, signaling firm credit demand across corporate and retail segments despite a cautious lending backdrop. Customer deposits rose 15.5% y/y to KES 510.26Bn, strengthening liquidity and keeping the loan-to-deposit ratio below 60%; a key indicator of balance sheet flexibility and ample funding headroom. Shareholders' equity increased 34.1% y/y to KES 99.45Bn, materially enhancing capital strength and the bank's capacity to absorb shocks. Overall, DTB's resilient funding profile and disciplined asset allocation continue to support growth while providing stability as macro conditions gradually improve.

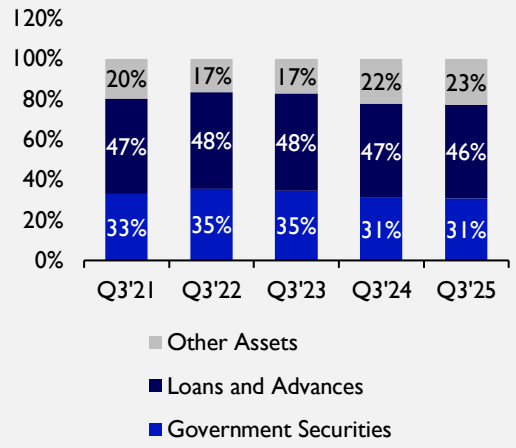
Operating Efficiency

Operating costs rose 9.5% y/y to KES 23.07Bn, broadly aligned with revenue growth, helping the bank sustain a stable operating profile. The cost-to-income ratio remained elevated but largely unchanged given the pace of income expansion. Loan loss provisions increased 7.6% y/y to KES 5.67Bn, consistent with the marginal rise in credit risk and helping maintain adequate buffers against impairment. Overall, DTB's operating efficiency remained steady, with cost pressures contained and provisioning reflecting a measured, risk-aware stance

Outlook

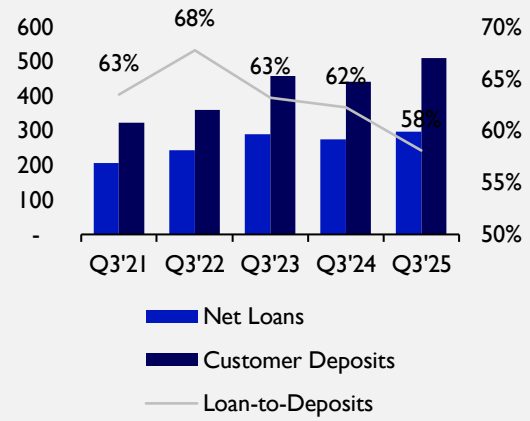
DTB enters Q4'2025 on solid footing, supported by strong capital buffers, a deepening deposit base, and steady loan growth. The bank is well positioned to sustain earnings momentum as firm lending yields and a growing liquidity cushion provide room for selective credit expansion. While non-funded income remains soft and asset quality shows mild pressure, current provisioning levels and disciplined risk management help contain downside risks. Continued investment in digital channels and process automation should lift efficiency and support fee income recovery, while regional operations and trade-linked activity offer additional upside. Overall, DTB's strengthened balance sheet and stable operating environment place it in a favorable position to capitalize on emerging lending opportunities through the close of the year.

Chart 2: Asset Composition



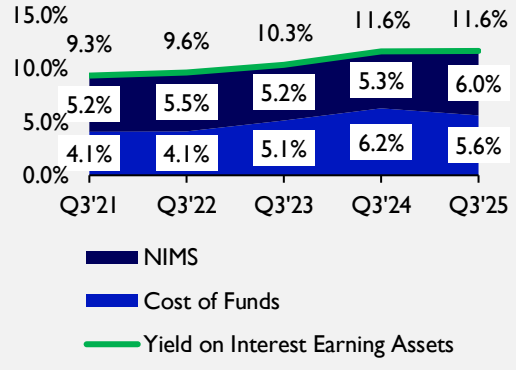
Source: Company filings, AIB-AXYS Research.

Chart 3: Faster Deposit Mobilization



Source: Company filings, AIB-AXYS Research.

Chart 4: Expanding Net Interest Margins



Source: Company filings, AIB-AXYS Research.

Recommendation

- **We maintain a BUY recommendation on DTB, supported by its strong deposit-led funding base, solid capital position, and consistent balance sheet growth.** At the current market price, the stock is trading at P/E ratio of 3.7x and a P/B ratio of 0.3x. Our one-year target price for DTB currently stands at KES 125.30- representing a c 9.0% upside potential from current levels.

Income Statement (KES Bn)	Q3'21	Q3'22	Q3'23	Q3'24	Q3'25	% y/y change
Net Interest Income	14.73	16.81	20.10	21.32	25.13	▲ 17.9%
Net non-Interest Income	4.79	6.86	9.19	9.71	9.14	▼ (5.8%)
Total Operating income	19.52	23.67	29.28	31.02	34.28	▲ 10.5%
Provision for Impairment	(3.06)	(4.00)	(6.01)	(5.27)	(5.67)	▲ 7.6%
Total Operating expenses	(12.11)	(14.71)	(20.67)	(21.07)	(23.07)	▲ 9.5%
Profit before tax	7.41	8.94	8.73	9.81	11.22	▲ 14.4%
Profit after tax	5.17	6.29	6.61	7.44	8.36	▲ 12.3%
Annualized EPS	22.93	27.43	28.61	35.49	39.85	▲ 12.3%

Balance Sheet (KES Bn)	Q3'21	Q3'22	Q3'23	Q3'24	Q3'25	% y/y change
Government Securities	142.72	179.92	206.72	183.29	197.40	▲ 7.7%
Loans and Advances	205.55	243.67	289.14	275.03	296.40	▲ 7.8%
Total Assets	434.39	507.49	598.00	590.63	641.77	▲ 8.7%
Customer Deposits	323.74	359.68	457.74	441.88	510.26	▲ 15.5%
Total Liabilities	359.89	429.61	515.51	506.59	530.52	▲ 4.7%
Shareholder's Funds	67.48	70.10	71.80	74.17	99.45	▲ 34.1%

Ratio Analysis	Q3'21	Q3'22	Q3'23	Q3'24	Q3'25	% y/y change
Spreads Analysis						
Yield on Assets	9.3%	9.6%	10.3%	11.6%	11.6%	▲ 0.0%
Cost of Funds	4.1%	4.1%	5.1%	6.2%	5.6%	▼ (0.6%)
Net Interest Margin	5.2%	5.5%	5.2%	5.3%	6.0%	▲ 0.7%
ROaE	6.7%	8.0%	10.0%	11.8%	11.2%	▼ (0.6%)
ROaA	1.1%	1.2%	1.3%	1.5%	1.6%	▲ 0.1%
Profit Margin	26.5%	26.6%	22.6%	24.0%	24.4%	▲ 0.4%
Operating Efficiency						
Cost to Income Less LLP	46.3%	45.3%	50.1%	50.9%	50.8%	▼ (0.2%)
Cost to Assets Less LLP	2.1%	2.1%	2.5%	2.7%	2.7%	▲ 0.0%
Loan to Deposit Ratio	63.5%	67.7%	63.2%	62.2%	58.1%	▼ (4.2%)
Asset Quality						
Gross NPL Ratio	11.9%	12.7%	12.2%	13.5%	13.1%	▼ (0.4%)
NPL Coverage	40.0%	49.0%	50.2%	39.1%	41.5%	▲ 2.4%
Cost of Risk	1.5%	1.6%	2.1%	1.9%	1.9%	▼ (0.0%)

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